BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Electric and Gas Service.

Cases 25-E-0072, 25-G-0073

June 24, 2025

Rebuttal Testimony of:

Cyber and Physical

Security Panel

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CONSOLIDATED EDISON COMPANY OF NEW YORK, INC.
REBUTTAL TESTIMONY OF CYBER AND PHYSICAL SECURITY PANEL

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CONSOLIDATED EDISON COMPANY OF NEW YORK, INC.
REBUTTAL TESTIMONY OF CYBER AND PHYSICAL SECURITY PANEL

I. INTRODUCTION

Q. Would the members of the Cyber and Physical Security ("Panel") please state your names?

A. Our names are Kurt John, Nicholas Boshears, Angel Cardoza, Margaret Walters, and Natalia Saldarriaga.

Q. Has the Panel previously submitted testimony in this proceeding?

A. (John, Boshears, and Cardoza) Yes. We submitted both direct and update testimony under the Panel. (Walters) Yes. I have submitted both direct and update testimony under the Electric Infrastructure and Operations Panel. (Saldarriaga) Yes. I have submitted both direct and update testimony under the Company's Shared Services Panel.

Q. What is the purpose of the Panel's rebuttal testimony?

A. We respond to the testimonies of:

- Department of Public Service Staff (Staff) Utility Security Panel (SUSP) regarding capital and O&M adjustments to various projects and programs, including reductions in incremental full-time equivalents (FTEs).
- Staff Electric Infrastructure and Operations Panel (SEIOP) and New York City Electric Infrastructure and

Operations Panel (NYCEIOP) regarding the Energy Control Center (ECC) relocation project.

To the extent that an issue is raised by Staff or intervenors but not addressed specifically by this Panel, the positions stated therein should not be viewed or considered to have been accepted by the Company.

Q. Do you have any exhibits that you will reference in this testimony?

A. Yes, we are introducing Exhibit __ (CPSP-6), which contains numerous discovery responses that we refer to in our testimony, as noted below.

Company Response to Information Request:	Exhibit __ (CPSP-6) Page Number:
DPS-18-441	2
DPS-21-539	62
DPS-21-539-Supp1	64
DPS-27-653	157
DPS-35-791	161
DPS-46-948	178
DPS-50-1027-Supp1	187
DPS-50-1027-Supp2	193

Q. Is the Panel providing any other exhibits?

A. Yes, we provide additional information and documents to support projects and programs, as listed below:

Exhibit Number:	Project/Program:
CPSP-7	Cybersecurity
CPSP-8	Cyber Security Infrastructure (Cyber for HVN)
CPSP-9	Cyber Security and NERC Compliance
CPSP-10	Protective Intelligence and Countermeasures
CPSP-11	ECC and AECC Security Enhancements
CPSP-12	ECC Relocation

Q. Were these exhibits prepared under the Panel's supervision and direction?

A. Yes.

Q. Have you reviewed Staff's proposed adjustments to the Company's capital and O&M funding requests?

A. Yes.

Q. What does Staff propose?

A. For Cyber and Physical security, Staff proposes adjustments reducing the Company's capital expenditures by approximately $77 million in RY1, $45 million in RY2 and $122 million in RY3. In addition, Staff proposes adjustments reducing the Company's total O&M expenses by

approximately $22 million in RY1, $32 million in RY2, and $36 million in RY3. Staff also proposes reductions to the FTEs requested by the Company.

Q. Do you agree with these recommendations?

A. No, we do not.

Q. Will you respond to each of Staff's proposed adjustments?

A. Yes, we address the adjustments by project under the cyber and physical categories.

Q. Are there any comments or adjustments associated with the Energy Control Center relocation project?

A. Yes. As noted earlier, Staff EIOP and the City discuss this project, and we explain why the project is needed in the physical security section.

II. REBUTTAL

A. Adjustments to Cybersecurity

Introduction

Q. Please summarize the Company's approach to cybersecurity.

A. Our Cybersecurity program is a Company-wide program intended to protect computer systems and information, detect threats and attacks as well as respond to and recover from cybersecurity incidents. Using a risk-based approach, this program aims to reduce the risk in areas

which continue to see an increase in both scale and velocity of attacks.

Q. Is cybersecurity a risk for the Company?

A. Cybersecurity is among the most critical risks facing organizations today, including Con Edison. Industry data and government advisories from the Federal Bureau of Investigations (FBI) and the Cybersecurity and Infrastructure Security Agency (CISA) show that cyber-attacks against critical infrastructure providers are on the rise. Our own monitoring further corroborates this trend, with a noticeable increase in attempted penetrations and attempted phishing campaigns (14 percent between 2022 and 2024).

Q. Has the threat and technology landscape changed?

A. The cyber threat landscape is evolving rapidly. Both the frequency and sophistication of attacks are increasing, driven by heightened geo-political tensions and advances in threat actor capabilities. Even since the initial filing, the threat landscape has shifted, with threats growing since that time.

The speed at which cybersecurity technologies are changing is remarkable, driven by the increasing complexity of cyber

threats. Advancements in AI and machine learning (ML) are enhancing threat detection and response capabilities, with tools capable of autonomously identifying anomalous behavior in real-time. For example, if you asked someone about the future of AI in 2022, they may not have even understood what you were asking. Now, vendors are selling AI tools to both protect against cyber-attack as well as to cause a cyber-attack – an incredible journey in two short years!

Q. Please explain the geo-political cyber landscape, including some of the recent changes.

A. Over the past several years, cyber-attacks targeting critical infrastructure have surged. Notable incidents include the October 2024 Tennessee water utility attack, where hackers attempted to manipulate chemical levels in the water supply as well as the Colonial Pipeline incident. Nation-state actors have also executed broad espionage campaigns, such as the Salt Typhoon operation, across U.S. telecommunications and infrastructure. The FBI and CISA provide advisories on threats, specifically the increased threat posed by China-linked

actors seeking to gain a foothold for future disruption of the U.S. electric and gas grid.

Ongoing geopolitical tensions, particularly those involving Russia, Ukraine, China, Iran, and Israel, further compound the complexity and risk of the current cyber environment.

The federal government has also changed tactics, for example, decreasing offensive cyber operations and deferring cyber regulations to states.

Given the prominence of Con Edison's service territory, the Company faces heightened exposure to a cyber-attack in response to kinetic warfare elsewhere in the globe.

Q. Please discuss the emergence of AI in cyber.

A. Not only have threat actors refined their hacking techniques, but emerging technologies, like Generative AI, provide malicious actors with access to low-cost hacking and have simplified the exploitation of existing vulnerabilities, enabling adversaries to craft attacks that could cause serious disruption to corporate operations and networks, including our critical energy infrastructure.

Finally, malicious actors continue to target sensitive and confidential information, inclusive of customer and employee Personally Identifiable Information (PII),

threatening the safety of our customers' and employees' personal data.

Additionally, cybersecurity industry reports suggest that there has been a significant increase in cybersecurity attacks, with about 160 percent more incidents reported in 2023 over 2021, resulting in more than 353 million people affected in just 2023. This trend was consistent in 2024, showing a 75 percent increase between Q3/2023 and Q3/2024, with 47 percent of the incidents reported coming from the utility industry.

Q. Are there any other technology changes being made that rely on new concepts?

A. Yes. There are several examples.

First, we are shifting to Zero Trust architecture, which considers every access request as untrusted, thereby shifting the Identity and Access Management (IAM) burden from passwords to more evolved authentication methods, such as password-less authentication leveraging security keys or authentication objects. Zero Trust architecture was a concept five years ago; now it is being implemented and improving IAM capabilities and security engineering.

Second, as more organizations migrate their capabilities to the cloud, cloud security technologies provided by Cloud Service Providers (CSPs) are evolving to secure cloud environments. Capabilities and access to these environments are growing, replacing on-premise installations.

Third, Ransomware-as-a-Service (RaaS) also contributes to the rise in attacks. The number of groups selling RaaS has increased, making it easier for less sophisticated attackers to launch ransom campaigns, resulting in more organizations being targeted. In response to the rise of ransomware, technology has evolved also in the data recovery space, allowing for quicker restoration of lost data.

Finally, with the increase in ransom amount requests (with increases of 20 percent annually since 2022), cybersecurity firms have also increased the cost of their capabilities, given the relevance of the services offered. These increases create a feedback loop which entices more threat actors to engage in attacks on organizations.

Q. Please discuss Identity Management.

A. IAM is a foundational pillar of cybersecurity. It only allows authorized individuals — and increasingly, machines

— to access specific systems, data, and applications. This is critical for maintaining the confidentiality, integrity, and availability of information, in cybersecurity circles often referred to as the "CIA triad."

Q. What is an identity based cyber attack?

A. Identity-based cyberattacks are threats where attackers exploit user identities such as usernames, passwords, credentials, or access privileges to gain unauthorized access to systems, data, or networks. Rather than pure technical means, these attacks focus on compromising or impersonating legitimate users, making them especially difficult to detect and prevent.

Q. Please continue.

A. As an example, recent CISA and Microsoft reports highlight a sharp rise in identity-based cyberattacks, particularly targeting critical infrastructure sectors, such as energy and manufacturing. Microsoft alone is tracking over 1,500 threat actors, many of which are actively exploiting IAM weaknesses to infiltrate Operational Technology (OT) environments.

Q. Do the current cyber security frameworks reflect these events?

A. Yes. Significant changes to the cybersecurity threat landscape are also confirmed by the updates introduced to industry accepted cybersecurity frameworks, like the National Institute of Standards and Technology (NIST) framework(s). Such changes have also introduced new complexity in the overall Company cybersecurity strategy, given its alignment with NIST.

Q. Turning to another subject, please explain the O&M tail.

A. While the implementation of software technologies is typically capitalized, the software industry has migrated to a business model that uses subscription licenses, resulting in an increased correlation between capital projects and O&M spend.

For every capital cybersecurity project, there is a corresponding O&M tail. The O&M cost, therefore, increases annually, as more capital (and associated O&M) projects are implemented to meet the evolving threat landscape. Accounting for inflation, the O&M tails will continue to increase.

Q. Has this occurred for cyber?

A. Yes. Recent vendor offerings are subscriptions or term licenses versus perpetual licenses, particularly following

the cloud evolution. With subscription or term licenses, the implementation period subscription costs may typically be charged to capital; however, the same amount recurs year after year, post the implementation period, as O&M. Vendors have changed their models, where previously, most licenses were perpetual, and the recurring charge was only 20 percent of the initial investment. Now, the annual O&M charge for a software, post implementation, is 100% of the initial investment. Two examples of this change are: the Cyber security logging and response tool and the PII response tool. For the logging and response tool, the annual subscription cost for this is expected to be approximately $7 million in RY1 (see previous purchase order attached in Exhibit __ (CPSP-7). The PII protection tool costs approximately $1.7 million of annual recurring O&M post implementation (see quote attached in Exhibit __ (CPSP-7).

O&M for the Cybersecurity program will increase as additional capital projects/tools, such as API Security and additional Cloud Protections, such as the single Cloud delivered platform, are implemented. Staff proposes to reduce our total O&M from RY1 to RY2 and again in RY3. In

this area, Staff's reduced O&M budget does not support the needs of the Company's cyber program.

Staff Cybersecurity Program Adjustments

Q. On an overall basis, does Staff recommend any adjustments to the Company's Cybersecurity funding requests?

A. Yes, Staff adjusted four projects and programs: (1) Cybersecurity program; (2) Cyber Security Infrastructure (Cyber for High Value Networks (HVN)) project; (3) Cyber Security and NERC Compliance project; and (4) NERC Cyber and Physical Security Critical Infrastructure Upgrade program.

Q. In total, what reductions did Staff make?

A. Regarding the Company's Cybersecurity funding requests, Staff proposes adjustments reducing the Company's capital expenditures by approximately $24 million in RY1, $25 million in RY2, and $25 million in RY3. In addition, Staff proposes adjustments reducing the Company's total O&M expenses by approximately $21 million in RY1, $31 million in RY2, and $35 million in RY3. Staff also proposes reductions to the FTEs requested by the Company. Below we address each adjustment in this category.

Company Cybersecurity Program

Q. What was Staff's adjustment to the Company's Cybersecurity program?

A. For RY1 capital expenditures, Staff recommends decreasing the request to $13.16 million, a decrease of $3.66 million. Further, Staff, through a workpaper, recommends RY2 capital expenditures of $12.64 million, a decrease of $4.29 million; and in RY3, Staff recommends capital expenditures of $12.59 million, a decrease of $4.912 million.

For O&M, Staff recommends a $17.8 million O&M reduction for RY1, reducing cybersecurity O&M to $20.75 million from $38.37 million, $3 million less than the O&M level the Company spent in the test year ($23.77 million). Staff indicates decreases for RY2 and RY3 O&M: in RY2, a $25.72 million reduction to $19.76 million, and, in RY3, a $28.76 million reduction to $19.69 million.

Q. In addition to Staff's adjustments, are there any other differences between the Company's and Staff's capital amounts?

A. Yes. Staff's Cybersecurity program total is different from the Company's Cybersecurity total in both the initial and update testimony, Exhibit __ (CPSP-4), and Exhibits __

(CPSP 1-3) ($17.68 in RY1, $17.177 in RY2, and $17.76 in RY3). We believe this is due to the inclusion of the capital for the Cyber Forensic Equipment budget in the program.

Q. What justification does Staff use for its adjustments?

A. Staff justifies its adjustments based on five main points:

- The Company has not had "stated issues" with the current level of cyber security spending;
- There was no similar request in the last rate case;
- Spending should be in line with a three-year historic average, including "ongoing" programs;
- The Company did not provide adequate support for the requested amounts, suggesting that vendor quotes, third-party risk assessments, or established forms of budget forecast analysis are necessary to justify estimates. Staff concludes that the Company's reliance on "historic purchases, vendor presentations, and internet sources" are insufficient for accurate cost projections; and
- The labor request is above prior years and not justified.

Q. Do you agree with the philosophy behind these adjustments?

A. No. As explained herein, the Cybersecurity area is undergoing rapid change and transformation. The fact that a program was not done in the past or the expenditures in the past were not at the level requested now does not invalidate the need for the program or the project. Moreover, recent changes have necessitated additional programs, including FTEs, to keep pace with adversaries and technology advances. Staff's adjustments do not reflect the Company's Cybersecurity program needs in the rate years.

Q. Staff states (p. 14) that the Company has managed its cybersecurity programs "…with no stated issues." Please respond.

A. As noted earlier, the lack of historical cyber issues does not reduce the likelihood of potential future events.

Q. Is relying on the request in the last rate case appropriate?

A. Not at all. As we explained, the landscape has changed in the last few years.

For example, the last rate case did not include a request for personnel dedicated to maintaining Identity and Access Management systems. This work, however, is now needed and we address that gap by proposing new roles specifically

tasked with managing and securing identity infrastructure. These employees will expand privileged access management support, authentication tools, and directory services. Because identity-related failures, such as weak passwords, lack of multi-factor authentication, and poor credential hygiene, are among the most common and effective entry points for attackers, the Company is requesting additional personnel, without which the Company is vulnerable to these increasingly sophisticated identity-based threats.

Q. Why is a three-year average unsuitable for cybersecurity spending?

A. Staff's position that future cybersecurity spending should be based on a three-year historical average does not comport with the current and expected threat environment.

Q. Please address Staff's statement that in response to DPS-51-1030, Attachment 1, the projects proposed in this program are ongoing from the previous rate case.

A. There are some continuing projects and 26 new projects (see response to DPS-51-1030 Attachment 1 in Staff Exhibit SUSP-1). There are 13 projects in flight or "wrapping up." These projects, needed to maintain pace with the evolving threat landscape, require O&M support costs, which were not

captured in either the historic year or in the last rate case.

Q. Are there risks associated with maintaining current levels of cybersecurity spending?

A. Yes. The current cybersecurity spending level was set three years ago based on then-current cybersecurity landscape threats. As stated previously, both the technology and the threat landscape have changed significantly. Therefore, maintaining the current level of spending exposes the Company to the risk of falling short when compared to the threat actors and the technology they have available, and increases the chances of a cybersecurity incident.

Q. Are there concerns with the O&M adjustment?

A. Yes. Several. First, the adjusted level of O&M leaves the Company with an O&M amount below the historic year O&M spending. A large driver of the O&M spending is the O&M tail. In fact, for RY1, approximately $22 million of Staff's proposed $20 million budget is already committed through signed contracts from ongoing, or already implemented, capital projects, and O&M tails (maintenance and subscriptions). This leaves little room to continue to appropriately protect the Company; it does not allow for

current labor expenses, not to mention any additional FTEs or additional project implementations. Thus, Staff's proposed O&M adjustments do not reflect the Company's Cybersecurity funding needs in the rate years.

Q. Please provide a general statement on Staff's lack of detail argument.

A. Overall, given the threat, it is not possible for the Company to describe every future threat that it will have to face to protect its systems. As an example, CISOs did not worry about malware being put into upgrades until Solar Winds. And lateral movement within systems was not a concern until the Solar Winds event. As a result, and in addition to other industry changes related to Solar Winds, FERC has mandated new Critical Infrastructure Protection (CIP) requirements for internal lateral movement.

Q. Staff states that your request lacks detail. Do you agree?

A. No. The Company's filing describes the projects that it will undertake, including Exhibit ___ (CPSP-4, pp. 49-52).

Q. Do you agree with Staff's statement that the basis for the Company's estimates is not adequate?

A. No. Quotes obtained for previous similar initiatives, reputable internet sources, and preliminary vendor

presentations (when available), are sufficient to provide reasonable cost estimate to be incurred from those projects. Estimates do not need to be based on quotes to be considered adequate.

In fact, for cyber, it is not typical practice to obtain quotes. Importantly, software vendors are typically unwilling to provide a specific quote before evaluations and contract negotiations. The nature of cybersecurity enhancements necessitates that providers gain a thorough understanding of the underlying infrastructure and environment to deliver effective enhancements. This process can be time-consuming, and therefore, it is essential for a negotiated contract to be established beforehand.

The projects expected for RY1-RY3 are not yet at evaluation and, certainly not at the negotiation phase, when a discounted quote would be available.

The Company has found that quotes obtained for previous similar initiatives, reputable internet sources, and preliminary vendor presentations (when available), provide a reasonable estimate of the costs to be incurred from those projects. In the case of lifecycle replacements, such as for Privileged Access Management and for our Virtual

Private Network Solution, and, quotes obtained for past purchases, are the most accurate way to estimate, since we are replacing hardware and the associated licenses that were previously purchased. Life cycle replacements comprise $7.2 million of our three-year capital request. Prices of these items continue to increase as well.

Q. Please discuss Staff's labor adjustment in the Company cybersecurity program.

A. Staff's adjustment removed funding for three Directors, one Vice President, and 12 Senior System Cyber Analysts.

Q. Do you agree with these changes?

A. No.

The new FTEs are necessary and, in fact, several of these positions have already been filled, demonstrating the Company's commitment to cybersecurity and the need for the positions.

These positions elevate the cybersecurity department as the threat landscape evolves. Cybersecurity is no longer just a technology problem; it's a Company-wide challenge that extends beyond threat actors, adversaries, and our customers.

Additionally, benchmarking against peer utilities showed that nearly all senior cybersecurity leaders operate at the Vice President level or higher, underscoring the need to elevate the CISO role to competitively position Con Edison to align with industry best practices (NextEra Energy, Duke Energy, Southern Company, Dominion Energy, Exelon).

Q. Please discuss why the Company disagrees with the reduction of the other FTEs (Senior System Cyber Analysts).

A. The 16 Senior System Cyber Analysts requested via the Cybersecurity program will strengthen and fortify the below teams: Red Team, Vulnerability Management, Application Security and Governance, Cybersecurity Governance and Information Protection, Engineering, Cyber Security Infrastructure, Identity and Access Management, Cyber Security Operations, Portfolio Management Office and Forensics Investigation.

The Company's initial testimony and response to DPS-8-324 described the need for these positions. These additional FTEs enhance capabilities that require additional personnel and expertise. As an example, recent revisions to the NIST framework introduced new guidelines and best practices but also required organizations to adapt their cybersecurity

strategies to remain compliant and effective. To meet these new standards and adequately protect our assets, we need to expand the team to include experts who can focus on key areas, such as red team, incident response, security engineering, and continuous monitoring. Without these FTEs, we may fall behind in adapting our cybersecurity posture to the changing threat and technology landscape.

Overall, due to the criticality of these positions, we have already filled 14 (30%) of the 46 FTEs requested for this program.

Cyber Security Infrastructure (Cyber for HVN)

Q. Please summarize the proposed Cyber Security Infrastructure (Cyber for HVN) project.

A. This project adds additional security capabilities into our high value network environments.

Q. Please describe Staff's adjustment to the Cyber for HVN project.

A. Staff recommends: RY1 capital expenditures of $3.36 million for the program, a decrease of $2.43 million; RY2 capital expenditures of $3.23 million, a decrease of $3.68 million, and RY3 capital expenditures of $3.22 million, a decrease of $3.71 million.

For O&M, Staff recommends $88,000 for RY1, a decrease of $2.54 million, an amount below the test year cybersecurity O&M spending of $98,000; in RY2, a reduction from $5.91 million to $85,000; and in RY3, a reduction from $6.50 million to $84,000. They also recommend reducing the programs' FTE request be reduced by one Director and 13 Senior System Analysts.

Q. What is Staff's rationale for its cost reductions?

A. Staff bases its adjustment on requests from the current rate plan, applies a three-year historical average, notes that the estimates are not adequate, and states projects are ongoing and that costs should be in line with historic spending.

Q. How did Staff justify its FTE reductions?

A. In a similar manner. For example, Staff notes that additional FTEs for the Cyber for HVN program were not requested in the previous rate case and, therefore, additional FTEs are unnecessary.

Staff claims that the Company fails to quantify what Cyber for HVN related improvements would be realized or to clearly establish duties and responsibilities for these

positions that differ from existing duties and responsibilities of current employees.

Q. Do you agree with the changes proposed by Staff?

No. To begin, many of the arguments previously mentioned are applicable to this project as well.

HVN is an ongoing program, and like Cybersecurity, additional capital funding and FTEs are needed to support new capabilities that have not yet been implemented in the HVN environment. Examples include the implementation of Endpoint Detection and Response (EDR), Micro-segmentation across critical servers and application, the implementation of the OT Intrusion Detection System (IDS) to support our substations that being converted to routable communications (discussed herein) REDACTED REDACTED based on historic implementation in other environments; see Exhibit __ (CPSP-8) for sample prior invoice for two sensors), and REDACTED REDACTED REDACTED REDACTED see Exhibit __ (CPSP-8) for sample prior invoices).

Q. Do you agree with the FTE reduction?

A. No. Staff's reduction does not reflect the Company's funding needs in the rate years. The integration of Information Technology (IT) and Operational Technology (OT) networks has created new vulnerabilities and attack vectors that our current staffing levels cannot adequately address. The proposed funding and headcount are essential to establish a dedicated security team with specialized OT expertise. This team will develop tailored security strategies and deploy advanced threat detection and response capabilities specifically for HVN systems. Additionally, cybersecurity threat landscape changes and NIST frameworks changes require the Company to update its current strategy, work functions and tools. For example, NIST continues to issue and update its new AI Risk Management Framework introducing new guidelines for assessing AI system risks and integrating AI into existing risk management frameworks. It also introduced new guidelines regarding supply chain risk, privacy risk integration into the overall cybersecurity practices, and emergency technologies like quantum computing and advanced manufacturing. These updates reflect NIST's proactive approach to addressing the rapidly changing cybersecurity

landscape and the need for organizations to adapt their practices to emerging technologies and threats. Not only do these changes indicate that the threat landscape has evolved but also introduce new complexity to the overall Company's cybersecurity strategy, given the Company's its alignment with the NIST framework.

Q. Please continue.

A. Staff proposed to cut 13 Senior System Cyber Analysts when we only requested 12 new Senior System Cyber Analysts. As noted earlier, these analysts are an important component of this program.

Q. Is this Company hiring for these positions?

A. Yes. These positions are necessary immediately and we are not waiting until the next rate period starts to hire for these jobs. Of the open positions for the Cybersecurity Infrastructure program, the Company has already hired two of the 20 FTEs; these two positions are Senior Cyber Analysts, which are part of the 13 Senior Cyber Analysts that Staff is proposing to cut. The Company provided this information in response to DPS-35-791, included in Exhibit CPSP-6.

Q. Why does the current O&M level not support the labor and non-labor O&M needed for this program?

A. We already have contracted O&M of approximately $1.2M in RY1, while Staff allowed $880,000, leaving us almost $400,000 short. This funding level will not allow for the O&M tail for future projects, such as the Endpoint Detection and Response and expansion of the OT Intrusion Detection System.

Cyber Security and NERC Compliance

Q. Please summarize the proposed Cyber Security and NERC Compliance project.

A. This project provides cybersecurity protections for the Energy Control Center (ECC) and our bulk power system through the deployment of technologies, controls, and monitoring. Cybersecurity continues to be an increasing risk which, if not reduced, can result in outages to our customers. This request is a NERC compliance requirement, needed for compliance with CIP-005, CIP-007, CIP-010, CIP-011, and CIP-012.

Q. Please describe Staff's adjustment to the Cyber Security and NERC Compliance project.

A. In RY1, Staff recommends a capital expenditure of $4.34 million, a decrease of $2.856 million. Staff's workpaper indicates decreases to RY2 and RY3. In RY2, Staff recommends capital expenditures of $4.173 million, a decrease of $2.027 million. In RY3, Staff recommends capital expenditures of $4.157 million, a decrease of $1.544 million.

For O&M, in RY1, Staff recommends $676,000, which is a decrease of $215,000. Staff's workpaper indicates RY2 O&M of $650,000, a decrease of $383,000, and in RY3, Staff recommends $647,000, a decrease of $386,000.

Q. Please comment on Staff's rationale for its reductions.

A. Staff stated that Con Edison did not provide enough quotes, third party assessments or other analysis to justify the capital and O&M estimates. Staff claims that estimating based off historic purchases, vendor presentations, and internet sources are not sufficient. They also state that costs should be consistent with the historical three-year average from 2023 to 2025 for capital.

Q. Do you agree with the changes proposed by Staff, and if not, what is your reasoning?

A. No. We need to implement new capabilities within our bulk power control center.

Q. What projects are necessary now?

A. Due to the upcoming requirements for CIP-015, the Company must implement a packet broker solution to meet CIP-015 requirements prior to enforcement. The networking port solution is necessary to secure connections from only approved devices. These efforts awaited the completion of a networking infrastructure upgrade, which occurred in 2024.

Q. Has the Company provided information for this request?

A. Quotes from purchases for prior similar work completed for our corporate network are provided in Exhibit __ (CPSP-9). For capital, in RY1, we plan to implement a packet broker solution, which based on a 2023 quote (Packet Broker Solution PDF), is estimated at $2.93 million before taxes. The networking port security platform we plan to implement is estimated at $.545 million (Network Port Security PDF). We are also looking to implement load balancing and a patch management solution. For RY2, we plan to purchase and implement an automation solution for our cyber watch, code scanning for internally built applications, a user endpoint behavior analytics tool, deception technology which is

forecasted at approximately $2.5 million based on historic implementation in other environments and replacing firewalls that are end of life. For RY3, we plan to implement a firewall management solution, replacing our security information event manager hardware, and implementing other technology that will be needed as technology and cybersecurity risks evolve. The major driver in capital cost for RY3 is replacing the hardware for our SIEM technology as we have requirements around retention and redundancy that require a significant amount of digital storage space.

For O&M, we have implemented additional technologies in previous years that are coming up for renewal and are driving the request, because these costs will now be charged to O&M, since the implementation period has ended. Staff's adjustments do not reflect the O&M tail associated with these projects.

NERC Cyber and Physical Security Critical Infrastructure Upgrade

Q. Please summarize the proposed NERC Cyber and Physical Security Critical Infrastructure Upgrade program.

A. The NERC Cyber and Physical Security Critical Infrastructure Upgrade program is essential to comply with

NERC CIP Standards and to strengthen cyber security controls and practices associated with BES Cyber Systems. Under CIP standard 005 "Electronic Security Perimeter," if existing layer 2 non-routable serial communications, are changed to layer 3 routable communications, significant changes in substation infrastructure must be made for the reliability and security of the electric system. This program enables the transition to leased ethernet circuits from Verizon and well as company owned multi-packet label switched (MPLS) circuits. NERC CIP considers these packet-based communication systems are considered Externally Routable Communications (ERC), mandating compliance with over 40 additional requirements, including access controls, remote password management, intrusion detection and more. Aside from NERC CIP compliance, if the proper cyber security controls are not in place as we transition to these new circuits, substations will become vulnerable to potential cyber-attacks.

Q. Is the Company changing from serial to routable communications?

A. Yes. But not based on the Company's wishes. The legacy serial communication systems that provide critical controls

and indications to the ECC are no longer supported by the telecom industry. In addition, critical protective relay circuits utilize the same legacy serial-based communications which have become obsolete and must be replaced with packet-based communications.

Q. What work will be done under this project?

A. The Company will transition to ERC to meet regulatory and security requirements. This will upgrade the backbone IT infrastructure needed to properly place all necessary cyber security controls in substations.

The Company will pilot the project in two substations to confirm that the program works and is ready to be deployed into another 30, and ultimately to all 100 plus substations.

Q. Is the backbone infrastructure needed for this project?

A. Yes. The backbone IT infrastructure, regardless of how many substations are connected to it, has the same capital cost needed to establish firewalls, servers, cyber security tools and other support equipment. (See the Company's response to DPS-21-539-Supp1, provided in see Exhibit __ (CPSP-6)).

Q. Please continue.

A. This program will enable the transition to leased ethernet circuits from Verizon and well as Company owned multi-packet label switched (MPLS) circuits. These packet-based communication systems are considered ERC in the eyes of NERC CIP, requiring additional compliance, including access controls, remote password management, intrusion detection and more. Aside from NERC CIP compliance, if the proper cyber security controls are not in place as we transition to these new circuits, substations will become vulnerable to potential cyber-attacks. As explained, the cyber threat landscape is becoming more complex with utilities being a main target. We need to create a comprehensive cyber security system for substation operations.

Q. Please describe Staff's adjustment to the NERC Cyber and Physical Security Critical Infrastructure Upgrade program.

A. As it relates to the capital request, for RY1, Staff recommends a $429,000 budget for RY1, a decrease of $ 14.571 million; for RY2, Staff recommends a $412,000 budget, decrease of $14.588; and for RY3, Staff recommends $410,000, a decrease of $14.590 million.

Q. What is Staff's rationale for its reductions?

A. This recommendation was based on historical spend.

Q. Should historical spend be considered for this project?

A. Absolutely not. The Company was not previously required to comply with this requirement so there is no spending in the historic year for this project. This funding is for pilot program for two substations and then subsequently further deployed.

Q. Is this amount for the two substations and the backbone IT system?

A. Yes. The backbone IT infrastructure, regardless of how many substations are connected to it, must be implemented before connecting to one or 30 substations.

B. Adjustments to Physical Security

Q. Does Staff recommend any adjustments to the Company's funding requests for physical security projects and programs?

A. Yes. Staff recommends adjustments to four projects and programs: (1) Protective Intelligence and Countermeasures program; (2) Facilities Security Upgrades program; (3) ECC and Alternate ECC (AECC) Security Enhancements program; and (4) ECC Relocation project. Each is discussed below.

Q. In total, what reductions did Staff make?

A. Regarding the Company's physical security funding requests, Staff proposes adjustments reducing the Company's capital expenditures by approximately $54 million in RY1, $20 million in RY2, and $97 million in RY3. In addition, Staff proposes adjustments reducing the Company's total O&M expenses by approximately $1.2 million in RY1, $1.2 million in RY2, and $1.2 million in RY3. Staff also proposes reductions to the FTEs requested by the Company. Below we address each adjustment in this category.

Protective Intelligence and Countermeasures

Q. Please summarize the proposed Protective Intelligence and Countermeasures program.

A. This program will strengthen the Company's ability to deter, detect, delay, and defend its people, critical infrastructure, and sensitive information against threats and adversaries. The program consists of the following three projects: (1) Random Anti-terrorism Measures (RAM); (2) Threat Intelligence Platform; and (3) Facility Security Enhancement. Together, these three projects will provide the Company with capabilities that meet NERC and CISA Office of Bombing Prevention requirements and guidelines. This program will also implement security industry best

practices and support operational excellence consistent with International Standards Organization (ISO) standards relevant to personnel, physical, and supply chain security.

Q. Please describe Staff's adjustments to the Protective Intelligence and Countermeasures program.

A. Staff recommends a reduced capital budget of $3.5 million in RY1, compared to the Company's proposed budget of $5.50 million. These adjustments eliminate the proposed: ballistic/anti-intrusion window project at the Company's Headquarters at 4 Irving Place; construction of a Sensitive Compartmentalized Information Facility (SCIF) at 4 Irving Place; and two of the three requested vehicles. Additionally, Staff reduced the capital budget to $3.876 million in RY2 and $3.533 million in RY3.

Staff also recommends a reduced O&M budget of $2.597 million in RY1, compared to the Company's proposed budget of $3.558 million in RY1. Staff also recommends a reduced O&M budget of $4.462 million in RY2 and $7.145 million in RY3.

These adjustments reduce the number of requested FTEs from 14 to 7.

Q. What is Staff's rationale for its adjustments in these areas?

A. Staff generally states that it does not agree with the Company's proposed expenditures for the SCIF and the bullet proof/anti intrusion rating of windows at 4 Irving Place. Staff similarly states that it does not agree with two of the three vehicles requested by the Company due to Staff's reduction of FTEs under this program. According to Staff, these program components do not align with industry requirements. Staff also claims that the Company did not provide any information indicating that the windows to be upgraded at 4 Irving Place are for the protection of critical assets and did not provide any data of incidents where windows were broken due to gunfire or intrusion.

Q. Do you agree with the adjustments proposed by Staff?

A. No. Overall, the Company's requests are designed to meet the changing physical security environment, including the increasing threat landscape posed by domestic and international terrorists, foreign intelligence entities, Nation State Actors, and criminals. The Company delivers energy to New York City, the largest and most populous city in the United States, which has been the primary target of

numerous acts of terrorism throughout the 20th and 21st centuries. New York City was the main target of the 1993 and 2001 attacks on the World Trade Center, which caused significant loss of life and extensive damage to infrastructure, including the Company's energy systems. New York City was also targeted in the October 2017 terrorist attack, which resulted in loss of life.

In addition, over the last two years, utility companies in several nearby states, including Maryland, Tennessee, and New Jersey, have experienced attempted terrorist attacks targeting their critical energy infrastructure. Although these attacks were disrupted by the FBI, intelligence and information released by various governmental agencies – including the Office of the Director of National Intelligence (ODNI), DHS, FBI, and National Counterterrorism Threat Center, and state/local law enforcement – continue to highlight increasing threats targeting critical infrastructure by terrorists and foreign intelligence entities. These evolving threats are well documented in the DHS, National Counterintelligence Security Center, ODNI, and state/local reports and bulletins provided in Exhibit __ (CPSP-10).

Q. Has the Company experienced instances of violence at 4 Irving Place and other Company locations?

A. Yes. We have had two examples at 4 Irving Place in recent years and numerous other examples elsewhere. For example, on April 3, 2020, an intruder broke a second-floor window at 4 Irving Place and gained access throughout the building. Moreover, during protests in 2020, individuals broke glass and caused other property damage at 4 Irving Place.

These events justify the need to install ballistic resistant windows and anti-intrusion film at 4 Irving Place. Specifically, the windows at the Company headquarters, which REDACTED

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Q. What will these windows do?

A. The upgraded windows will reduce the risk posed by potential terrorists and criminals seeking to enter 4

Irving Place or otherwise harm persons or property within the building.

Q. Did the Company provide information justifying the need for these windows?

A. Yes. In its response to DPS-18-441, included in Exhibit __ (CPSP-6), the Company provided information explaining the need for these upgraded windows and describing the April 3, 2020 incident involving intrusion through a broken window.

Q. Please discuss the proposed SCIF.

A. Construction of a SCIF will enable the Company to secure real-time access to sensitive and classified intelligence provided by government agencies and enable authorized personnel to review and analyze classified intelligence without delay or requiring travel or access to a facility controlled by an external government agency. The proposed SCIF will also support time-sensitive decision-making for regional and national security, including the security of the Company's energy systems; reduce the risk of potential data leaks that could compromise security, intellectual property, and research and development efforts; enable effective, timely, and secure communications with DHS/CISA, FBI, and the National Security Agency during a

cybersecurity incident involving a State-sponsored advanced persistent threat or ransom incident requiring communication of classified unlock codes. Installation of a SCIF at 4 Irving Place will support NERC CIP-014-3(R4) requirements and provide protection against insider threats and espionage; prevent Nation State Actors, hackers, and foreign intelligence entities from intercepting critical information; limit unauthorized personnel from overhearing or accessing sensitive, proprietary, and classified information; and support continuity of operations (COOP) and emergency response by enabling the Company to operate its critical energy infrastructure without interruption during security incidents and crises.

Q. Does the Company agree with Staff's vehicle adjustment?

A. No. The three additional vehicles are required to meet the operational needs within Corporate Security, including the Capital Projects team, Insider Threat Program, and RAM personnel assigned to the Investigations/Tactical Response Teams. These teams conduct perimeter checks, perform camera maintenance, respond to incidents, and perform other duties, as assigned.

Q. Does the Company agree with Staff's FTE adjustment?

A. No. The 14 incremental FTEs requested by the Company are intended to protect Company personnel and critical infrastructure from increasing threats posed by terrorists, foreign intelligence entities, and criminals. These additional FTEs will benefit customers through increased risk/threat identification and mitigation by performing skilled counterterrorism, counterintelligence, protective intelligence, tactical response, and supply chain security functions.

Facilities Security Upgrades

Q. Please summarize the Facilities Security Upgrades program.

A. This program includes proposed physical security upgrades at the Company's Astoria and East 16th Street facilities. These proposed upgrades involve replacement of deteriorated perimeter fencing with high-security, anti-cut, anti-climb fencing and installation of lighting, cameras, access controls, turnstiles, and gates.

Q. Please describe Staff's adjustments to the Facilities Security Upgrades program.

A. Staff proposes to eliminate this program entirely.

Q. What is the basis for Staff's proposal?

A. Staff claims that the Company did not provide adequate justification including detailed cost estimates for the subprojects proposed under this program.

Q. Does the Company agree with Staff's proposal?

A. No. The projects proposed under this program involve replacement of perimeter fencing that protects infrastructure, including electric switchgear, power plant property, liquefied natural gas facilities, important material storage areas, backup transformers, and our emergency mobile generator yard. These areas are critical and must remain protected. The proactive projects proposed under this program will provide for such protection.

Q. What happens if the proposed work is not performed?

A. There can be security issues. For example, at the 28th Street Service Center, over 250 feet of perimeter fencing collapsed suddenly in March 2021 due to structural deterioration. This failure compromised physical security by exposing the site to the public and created a serious safety hazard because the heavy fencing fell onto a public sidewalk. Delaying the work proposed under this program will increase the risk of a similar fence failure and potential security breach at the proposed project sites.

Proceeding with these upgrades is essential to protect the Company's facilities.

Q. Does the Company have detailed cost estimates for the recent Facilities Security Upgrades performed at the Farrington Service Center that would help Staff assess the current funding requests under this program?

A. Yes. The Company has a detailed cost estimate for the upgraded fencing recently installed under this program at the Farrington Service Center. As part of that work, completed in May 2022, the Company installed new rolling gates for both pedestrian and vehicle entry, with upgraded cameras and card access equipment. The Company also installed upgraded high-security, no-cut, no-climb fencing to strengthen perimeter protection. This work was necessary because the Company had experienced repeated security breaches at the Farrington yard, including perimeter intrusions, inventory theft, and instances of vehicle vandalism. The unit costs of the Farrington project are consistent with the cost of projects proposed under this program.

The Company also has a detailed draft cost estimate for the proposed project at the Astoria Luyster Creek site. A final

detailed estimate will be available for the Astoria Luyster Creek project upon completion of design work.

Copies of these cost estimates were provided to Staff in the Company's response to DPS-50-1027-Supp1. The Company also provided additional work scope information for each proposed subproject in its response to DPS-50-1027-Supp2. Copies of these responses are included in Exhibit __ (CPSP-6).

ECC and Alternate ECC Security Enhancements

Q. Please summarize the ECC and AECC Security Enhancements program.

A. This program includes multiple technology upgrades to strengthen the existing security posture of both the ECC and AECC against current and emerging physical and cyber threats. These proposed enhancements address physical security risks, cyber vulnerabilities with physical security systems, and other evolving threats, including potential drone incursions and chemical/biological attacks. This program also provides for ongoing compliance with regulatory requirements established by FERC, NERC, NYSRC, and NPCC.

Q. Please describe Staff's adjustments to the ECC and AECC Security Enhancements program.

A. Staff recommends a reduced capital budget of $3.110 million in RY1, compared to the Company's proposed budget of $5.89 million. These adjustments eliminate funding for the proposed Chemical and Biological HVAC Detection System project; the Drone Detection project (Phase III); the Physical Security Point project; and the Physical Access Control System upgrade. Staff also recommends a reduced capital budget of $3.115 million in RY2 and $1.154 million in RY3.

Additionally, Staff recommends rejecting the incremental FTEs proposed by the Company under this program.

Q. What is Staff's rationale for its adjustments to this program?

A. Staff claims that the Company did not provide adequate information to substantiate the need for these projects or the associated incremental FTEs. Staff also contends that the Chemical and Biological HVAC Detection System Project and the Drone Detection Project (Phase III) do not align with industry requirements.

Q. Does the Company agree with the adjustments proposed by Staff?

A. No, we do not. The Company's physical security methodology focuses on protecting people, assets, and facilities from physical threats, including unauthorized access, theft, vandalism, terrorism, and natural disasters. These goals are achieved through various proactive strategies involving Risk Assessment, Security Planning, Access Control, Surveillance and Detection, Response and Recovery, Testing and Auditing, and Continuous Improvements. This approach requires the Company to regularly modify and upgrade physical security equipment and processes at both the ECC and AECC to address existing vulnerabilities and the evolving threat landscape.

The ECC and AECC are designed with matching operational and security practices. The AECC is located REDACTED REDACTED REDACTED This creates potential security risk for the AECC because REDACTED REDACTED REDACTED, which is present at the ECC. This REDACTED at the

AECC. In addition, REDACTED REDACTED REDACTED Thus, REDACTED REDACTED at the AECC. In its response to DPS-27-653, provided in Exhibit __ (CPSP-6), the Company explained that the proposed Physical Security Point project and Access Control System Upgrade are needed to keep up with evolving security threats and to comply with NERC CIP standards.

Q. Do the Chemical and Biological HVAC Detection System project as well as the Drone Detection project align with industry standards?

A. Yes. The Company's proposed Chemical and Biological HVAC Detection System project and the Drone Detection project (Phase III) align with industry standards and best practices widely adopted by federal, state, and local agencies, as well as critical infrastructure operators, and high-security commercial building owners. Such standards and best practices can be found in the New York City Police Department (NYPD) Engineering Security Manual; the DHS Homeland Security Science and Technology Advisory Committee (HSSTAC) Chemical, Biological, Radiological, and Nuclear

defense (CBRN) Detection White Paper; and the CISA & National Infrastructure Advisory Council (NIAC) Final Report. Copies of these documents are provided in Exhibit __ (CPSP-11).

Q. Does the Company agree with Staff's adjustment for the incremental FTEs requested under this program?

A. No, we do not. The two incremental FTEs requested by the Company support several key aspects of strengthening the security posture at the ECC and AECC under this program, including:

- Layered Security Operations – Additional staffing provides a more robust barrier against potential threats.
- Emergency Response and Continuity – In the event of an emergency, operational security and communication can be handled while other FTEs support the response.
- Continuous Coverage and Redundancy - Additional staffing provides flexibility, redundancy, and continuity with coverage gaps.
- Compliance with Industry Standards - Standards like NERC CIP, FEMA 426, and DHS CISA recommend multi-person security teams for critical infrastructure to ensure redundancy and resilience.

- Enhanced Deterrence and Visibility - A larger, visible security presence deters threats more effectively.

ECC Relocation

Q. Please summarize the Energy Control Center Relocation project.

A. The Company's existing ECC has been in operation at its current location in midtown Manhattan for over sixty years. This project involves the initial stages of planning and property acquisition to support construction of a new ECC at a different location outside of New York City. The Company has not yet identified a location for the new ECC.

Q. Why does the Company need to relocate the ECC?

A. There are several reasons to relocate the ECC, including:

- System Reliability

  The operators and systems at the ECC enable the Company to maintain world-class reliability. The ECC is therefore critical to Con Edison's customers, including:

  - 8.5 million residents in New York City.
  - 1 million residents in Westchester County.
  - The Nation's financial center and many other industries, including the advertising, theater, and restaurant industries.

- The Metropolitan Transportation Authority (MTA), which operates the largest commuter transit system in the country, serving New York City, southeastern New York, Long Island, and parts of Connecticut, with approximately 2.6 billion trips annually.
- Two major regional airports.
- Various hospitals and medical centers.

Issues or problems at the ECC can significantly affect system-wide reliability and millions of customers across the tri-state area. For example, REDACTED

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- Natural Disasters

The ECC was constructed in the 1960s, before New York City established modern building requirements for hurricanes and flooding in the 1980s and for earthquakes in the mid-1990s. As a result, the current ECC is not

built to withstand the impact of major hurricanes and earthquakes.

- Physical Security

The ECC is located in a highly congested area of midtown Manhattan, surrounded by buildings and constant pedestrian and vehicle traffic. The facility is also surrounded REDACTED REDACTED REDACTED. The current location and site layout provide no room for installation of REDACTED REDACTED

The site is bordered on the west side by REDACTED with REDACTED. To the east, the site is bordered by REDACTED, with REDACTED. The north and south sides are bordered by high rise buildings with REDACTED

The ECC is within walking distance of Lincoln Center, the 1, 2, 3, B, and D subway lines, and five bus routes. The ECC is two miles from Penn Station and Grand Central Terminal. The mass transportation entrances and exits

increase pedestrian and vehicle traffic in the area, with many one-way streets causing vehicle choke points. These factors create a heavily congested area around the existing ECC. Certain risks and threats, including potential civil unrest, accidents, and terrorism, are greater in this type of highly congested location.

- Physical Space

There is no more available space at the ECC to meet the Company's needs in terms of additional workspace, headcount, and equipment. The Company has a total of 179 employees currently working at the ECC across all shifts. Our Certificate of Occupancy for the ECC permits a total of 115 people at any given time between the second-floor office spaces and the third floor including the control rooms. Thus, The Company is currently at full headcount capacity for the ECC.

The Company will need to build a new desk at the ECC to support the Reliable Clean City Projects (RCCPs), which are intended to bring 6-16 GW of battery storage and approximately 7.6 GW of offshore wind generation by 2040, to meet electrification and clean energy targets. This new desk is therefore needed to manage and monitor these

additional loads at the ECC. This new RCCP desk will require additional space for equipment cabinets and display boards. However, there is no more available space for such equipment at the ECC. All available spaces on the sides of existing major display boards are occupied with other equipment. Adding new workspaces will not be possible without a significant structural addition to the building.

Q. Can the Company renovate the existing ECC to address current and future needs?

A. The Company does not believe that the current ECC can be cost-effectively renovated to meet its current and future needs.

Q. Please explain.

A. The current ECC was built in the 1960s with major renovations in the 1980s and again in 2007. Thus, the existing ECC is due for a major renovation.

The existing building needs significant upgrades to incorporate technological advances since the last major renovation. The existing building also needs more workspaces to accommodate additional equipment and increases in staffing. However, the only option for

creating additional workspaces at the existing ECC is to build upward, which would be a challenging, time-consuming, and expensive process.

Q. Please discuss the challenges of adding another floor to the existing building.

A. Adding another floor to a large building, especially in midtown Manhattan, would require careful planning and execution, including structural assessments, complex design considerations, and adherence to local building codes. This type of project would also involve engineering evaluations to confirm that the existing structure and substation could support the added weight of a new floor; designing the new floor's layout and materials; and addressing many other potential issues, including height restrictions, ventilation, possible asbestos abatement, and architectural compatibility. This level of construction would likely require the Company to bring existing building components and systems up to code, further increasing costs. For example, the LAN rooms are the only areas within the ECC that have a fire suppression system (FM200). The building itself has been grandfathered and is not required to have a fire suppression system. This type of system, however, is

required for new buildings and buildings that undergo significant renovations. As such, the Company could be required to install a fire suppression system serving the entire building if significant renovations are undertaken. Adding another floor could also require the Company to temporarily relocate portions of the ECC during construction, which would also increase costs.

Q. Please continue.

A. Moreover, a full renovation of the ECC would incorporate improvements to meet NERC best practices, including REDACTED REDACTED. Some NERC best practices, however, would be impossible to meet at the current location. For example, at the ECC's current location, it would be impossible to provide the recommended property line setback of 300 feet. These best practices are discussed in the NERC Security Considerations High-Impact Control Centers Guideline document. These best practices are also discussed in the North American Transmission Forum (NATF) Transmission Operations Control Center Design, Construction, and Environment Reference Document. Copies of these NERC and NATF documents are provided in Exhibit __

(CPSP-12). It would also be impossible to completely mitigate the threats and risks posed by the ECC's current location in midtown Manhattan, in the vicinity of other potential terrorist targets.

The cost of fully renovating the existing ECC to address security concerns, add new workspaces, and bring the building up to date and in compliance with City codes and regulations, would be significant. In total, such costs may be comparable to (if not greater than) the cost of building a new ECC at another location. A full renovation, however, would not be able to address many of the security concerns with the current location.

Q. Please describe Staff's adjustments to the ECC Relocation project.

A. Staff proposes to eliminate this project. Additionally, SEIOP proposes to remove funding for this project.

Q. Why does Staff recommend no funding for this project?

A. SUSP contends that there is no evidence to support the current physical location of the ECC as a vulnerability. In addition, SEIOP claims that the Company's need for additional workspace, including for incremental FTEs to monitor increasing wind farms and transmission-level

battery systems, can be met by creating permanent workstations at the Company's Alternate ECC.

Q. Does the Company agree with these adjustments?

A. No. As discussed above, there are multiple reasons to relocate the ECC. Additionally, the rationale provided by SUSP does not consider current physical security conditions and limitations at the existing location, including the Company's inability to meet industry best practices. These physical security conditions and limitations were identified in the Company's response to DPS-46-948, provided in Exhibit __ (CPSP-6).

Q. Can incremental FTEs be assigned to new permanent workstations created at the Company's AECC, as suggested by SEIOP?

A. No. The AECC was designed as the backup control center for use during emergency operations where the ECC is not available. The AECC has limited physical space and does not have sufficient capacity for new permanent FTE workstations, as suggested by SEIOP.

Q. Please describe the City's recommendations concerning the ECC Relocation project.

A. NYCEIOP recommends that an in-depth review of cost-effective solutions including a plan to address infrastructure replacement should be performed before the ECC Relocation project moves forward.

Q. Does the Company agree with the City's recommendation?

A. No, we do not. The Company has considered available solutions and has determined that relocating the ECC is the most cost-effective option.

Q. Does this conclude your rebuttal testimony?

A. Yes.